

C01 - PLACING AND PROCESSING ORDERS

- (a) Ordering Period: The Government may place orders for articles to be serviced hereunder, during the period commencing on the date of execution of this contract and ending five (5) years from the date thereof. Each order placed shall be issued and processed in the manner hereafter provided.
- (b) Authorized Ordering Activity: The Procuring Contracting Officer (PCO) shall place orders under this agreement in the manner provided elsewhere herein;
- (c) Form and Content of Orders: Orders issued under this Contract shall be prepared on DD Form 1155; however, if exigency so demands, order may be issued via electronic transmission (e.g., e-mail) and will be confirmed by DD Form 1155 as soon as practicable thereafter, and will bear the notation "CONFIRMING ORDER." In addition, each DD Form 1155 order shall include the following:
 - (1) The order number, date, and appropriate reference to this contract;
 - (2) Citation of the negotiation authority pursuant to which the order is negotiated;
 - (3) Appropriation and accounting data and special invoicing instructions.
 - (4) Special shipping instructions, place of delivery, place of inspection, DoD Priority designator and surveillance criticality designator.
 - (5) Defense Order Rating certified under the Defense Priorities and Allocations System.
 - (6) Description of work to be performed and identification of specific articles to be repaired including part number and stock number, serial number if available, and quantities thereof.
 - (7) The model designation of the end unit for which the parts ordered applies, if available.
 - (8) The agreed upon delivery schedule.
 - (9) Any orders for change pages/revisions to existing Technical Manuals (TM), or for new TMs, will include Technical Manual Contract Requirements (TMCRs) citing the equipment and changes to be covered by the publications ordered, the manuals involved, description and specifications, delivery and packing, instructions for transmittal of negatives and retention of reproducible copies and negatives.
 - (10) A DD form 1423 setting forth the date ordered.
- (d) Obligations of Contractor
 - (1) The contractor shall, except as specified in paragraphs (2) or (3) below, immediately proceed with the repair of the articles covered by the order.
 - (2) Where the contractor cannot proceed, or is not authorized to proceed, the contractor shall so advise the PCO (by e-mail, if available) within five (5) working days after receipt of the order. The contractor shall await instruction from the PCO regarding such orders; which shall be issued within five (5) working days, or such additional period as the PCO may require after being advised by the contractor of the circumstances preventing the start of performance.
 - (3) The contractor shall advise the PCO of any specific representation or certification that cannot be made as to an order and reason(s) therefore.
 - (4) In regard to (d)(2) or (d)(3), the contractor shall notify the PCO and the cognizant ACO and shall stop work until given further instructions or disposition of the item by the PCO.
 - (5) The contractor shall establish and maintain:
 - (i) A summary of all costs incurred applicable to all orders placed pursuant to the terms of this contract.
 - (ii) The summary records required in (5)(i) shall be furnished to the Contracting Officer upon request.
 - (6) Sixty (60) days after induction of the last unit received against delivery orders issued hereunder, Contractor shall notify the ACO (with a copy to the PCO) of the actual quantities inducted for repair.
- (e) Within thirty (30) days of ACO's receipt of contractor's notice of last induction ((d)(6), above), unless otherwise specified by NAVSUP WSS, ACO shall modify the delivery order, to reduce all excess quantities and funds.

C02 - INPUT OF ARTICLES TO BE REPAIRED AND/OR MODIFIED

- (a) Articles to be repaired and/or modified under this agreement, as shown on Attachment "A", will be shipped at the Government's expense to the plant of the contractor at:

TBD

The contractor shall receive for each shipment a list (referencing this agreement number) of the articles included in the shipment.

- (b) Upon receipt of such articles, the contractor shall:
 - (1) Verify that the articles received corresponds with the list of the articles furnished for such shipment; and further verify that the articles received are covered by the applicable Delivery Order;
 - (2) Segregate those assets that were improperly sent to the contractor, contact PCO for return shipping instructions, and return improperly sent items to the Government;
 - (3) Advise the Government PCO if any portion of the required repair is covered under a warranty; or is a result of the furnishing by the contractor of articles that were defective in material and/or workmanship, or otherwise not in

- conformance with the requirements of the contract under which such articles were originally furnished;
- (4) Further advise the Government PCO of the results of the foregoing preliminary inspection, together with a list of the articles and quantities required to be repaired.

C03 - SPECIFICATIONS FOR REPAIR/MODIFICATION/STATEMENT OF WORK

1.0 SCOPE

- 1.1. General.** The items to be furnished hereunder are Government Furnished Property (GFP) and shall be repaired, tested, inspected, and accepted in accordance with the terms and conditions specified in this Contract. Equipment such as fixtures, jigs, dies, patterns, mylars, special tooling, special test equipment, or any other manufacturing aid required for the repair, manufacture, and/or testing of the subject item(s), will not be provided by the Government and shall be the responsibility of the Contractor unless expressly provided for on Attachment D. This limitation regarding the furnishing of equipment applies notwithstanding any reference to the contrary in any drawing, manual, or specification for the Contract items.
- 1.2. Repair Requirements.** The Contractor shall provide the necessary facility, labor, materials, parts, and test and tooling equipment required to return the items (see Attachment A for a list of these items) to a Ready For Issue (RFI) condition. RFI is defined as that condition allowing the items to perform properly and reliably in an operational environment in a manner they were intended to operate. The Contractor shall identify on Attachment D the governing repair

manual(s)/documents for each item covered by this Contract. On the same attachment, the Contractor must identify the facility for each item where repair, including final test and inspection, is completed. If no governing repair manual(s)/documents are identified on Attachment D the contractor's most current repair manuals, technical specifications, engineering orders, and/or drawings shall be used for product inspection and acceptance.

- 1.2.1. Changes to repair manuals/documents and changes to drawings or specifications for the manufacture of parts utilized in these repairs require Procuring Contracting Officer (PCO) approval. In addition, as provided for in Section 2.3, requests for changes to a repair source or repair facility shall be submitted in writing to the PCO and must be approved prior to making any such change.
- 1.2.2. Any repairs performed using unapproved changes to manuals, drawings, specifications, or unapproved changes to a repair source or facility are not permitted.
- 1.2.3. The Contractor is not entitled to any equitable adjustment to the price or Contract terms based on the Government's disapproval of a requested change to manuals, drawings, specifications, or to a repair source or facility.

1.3. Beyond Repair (BR)

- 1.3.1. Scope. An item is BR when the item is not capable of being repaired in accordance with the Statement of Work due to the extent of physical damage.
- 1.3.2. Procedures. The Contractor shall obtain written concurrence from DCMA for all units determined by the Contractor to be BR. All such determinations, including the basis for the determination and the DCMA written concurrence shall be provided by the Contractor to the PCO, with a copy to the Inventory Manager (IM). After receipt of the required documentation, the PCO shall provide the Contractor disposition instructions. If provided disposition instructions, the contractor shall submit a proposal for BR pricing to the PCO within 30 days of receipt of these instructions. Any disposal ordered shall be performed by the Contractor in accordance with all applicable regulations and the Contractor's approved Government property disposal procedures.

1.4. Beyond Economical Repair (BER)

- 1.4.1. Scope. An item is BER if the cost of the repair exceeds 80% of the replacement price for items identified on Attachment A. This replacement price is for the purposes of BER determinations only, and may not be used or relied on by the offeror in the pricing of the repairs required by this Contract.
- 1.4.2. Procedures. The Contractor shall obtain written concurrence from DCMA for all units determined by the Contractor to be BER. All such determinations, including the basis for the determination, the repair required, the Contractor's proposed BER price to repair, and the DCMA written concurrence, shall be provided by the Contractor to the PCO, with a copy to the IM. After receipt of the required documentation, the PCO shall provide the Contractor disposition instructions or contractual authority for repair of the item. The Contractor is not authorized to proceed with the repair until notification is received from the PCO. If provided disposition disposal instructions, the contractor shall submit a proposal for disposal pricing to the PCO within 30 days of receipt of these instructions. Any disposal ordered shall be performed by the Contractor in accordance with all applicable regulations and the Contractor's approved Government property disposal procedures. Items determined BER will be separately priced.
- 1.4.3. The following additional procedures may apply, if authorized, for the replacement of a BER SRA (Shop Repairable Assembly) within a WRA (Weapons Repairable Assembly) when the SRA has not been separately inducted. The Contractor may request authorization to:

Ship in place an accepted item from an existing spares or repair contract/delivery order, if any, or MILSTRIP the SRA(s),

Authorization to ship in place or MILSTRIP must be provided by the IM in writing to the Contractor and must be appropriately documented in accordance with the WEB-BASED COMMERCIAL ASSET VISIBILITY (WEBCAV) STATEMENT OF WORK. The Contractor must provide written notification of any item shipped in place or MILSTRIPed to the PCO and an equitable adjustment may be required. If authorization to ship in place or MILSTRIP is not provided, the Contractor shall contact the PCO for further instructions.

1.5. Missing on Induction (MOI).

- 1.5.1. Scope. A WRA is subject to this MOI provision if the item received by the Contractor for repair is missing one or more SRAs and the SRA is not a separately inducted item. Contractor replacement of MOI SRAs is not included in the contract price. Items received by the Contractor missing consumable parts are not MOI items. Rather, repair of such items and replacement of the missing consumable parts are included in the contract price and the item shall be inducted and repaired by the Contractor under this contract.
- 1.5.2. Procedures. The Contractor shall immediately notify DCMA when an item is received with MOI SRA(s) and shall obtain written verification from DCMA for all WRAs determined to have MOI SRA(s). The Contractor shall provide written notice of all such determinations, including identification of the missing SRA(s), and the DCMA written verification, to the IM with a copy to the PCO and ACO prior to induction and/or repair of the WRA. The Contractor

shall not proceed with repair of WRAs with MOI SRAs until instructions on how to proceed are provided to the Contractor.

- 1.5.3.** The following additional procedures may apply, if authorized, for the replacement of a MOI SRA within a WRA. The Contractor may request authorization to:

Ship in place an accepted item from an existing spares or repair contract/delivery order, if any, or MILSTRIP the SRA(s),

Authorization to ship in place or MILSTRIP must be provided by the IM in writing to the Contractor and must be appropriately documented in accordance with the WEB-BASED COMMERCIAL ASSET VISIBILITY (WEBCAV) STATEMENT OF WORK. If either of these options is not authorized, the Contractor shall contact the PCO for further instructions.

1.6. Swapping SRAs

- 1.6.1. Scope.** On rare occasions the Contractor may request authority to replace a failed but repairable SRA (within an inducted WRA) that is not BR, BER or MOI.
- 1.6.2. Procedures.** The Contractor may request authorization to replace the failed SRA unit from the Contractor's production line, by MILSTRIP for an RFI item from Government stock, or with another repairable WRA, i.e. cannibalization. Permission from the PCO must be obtained and an equitable adjustment may be required. Authorization to ship in place from the Contractor's production line or MILSTRIP must be appropriately documented in accordance with the WEB-BASED COMMERCIAL ASSET VISIBILITY (WEBCAV) STATEMENT OF WORK. Although permission from the PCO is required if the SRA is obtained from another repairable WRA (cannibalized), that transaction does not have to be input into CAV.

2.0 PARTS AND MATERIAL

- 2.1.** The Contractor is responsible for supplying all parts and material necessary to perform the required repairs under this Contract unless parts or material are specifically identified on Attachment F as Government Furnished Material (GFM). All parts and material used in performance of this Contract shall be in accordance with the latest approved revision of applicable drawings and specifications. The Contractor shall ensure it has access for the duration of this Contract to updated drawings and specifications for parts and material required for repairs performed under this Contract. Any change to such parts/material drawings or specifications requires Government PCO approval.
- 2.2.** All parts and material shall be new in accordance with FAR 52.211-5, Material Requirements, which is incorporated by reference herein. Authorization to use other than new material as defined by FAR 52.211-5 requires written approval from the PCO. In addition, cannibalization of piece parts must be approved by the PCO. Cannibalization of units that have not been inducted is not authorized and requires specific additional approval by the PCO. Cannibalization or swapping, including any actions authorized under paragraphs 1.4, 1.5 and 1.6, shall not render an item BER or BR.
- 2.3.** Written approval from the PCO must be obtained prior to any change to the manufacturing source or manufacturing facility for all parts which require source approval. However, if the Contractor has been delegated authority in writing by another Navy Command to approve a change in manufacturing source or a manufacturing facility, the Contractor may implement such a change after notifying the PCO, providing a copy of such delegation to the PCO, and receiving acknowledgment of such delegation from the PCO.
- 2.3.1.** Where there has been a change to a manufacturing source, the Contractor shall complete all qualification testing that was required when that item or component was originally qualified. Any changes in such testing shall be submitted to the Contracting Officer for Government review and approval. Any repairs performed using unapproved changes to such drawings, specifications or manufacturing source or facility are not authorized. The Contractor is not authorized to deliver any items until such testing (including revised testing as properly approved) has been completed and the delivered items are repaired/manufactured in accordance with the qualification requirements package.
- 2.3.2.** The Contractor is not entitled to any equitable adjustment to the contract price or terms based on the Government's disapproval of a requested change to the drawings, specifications or manufacturing source or facility.
- 2.4.** Purchased Material Control and Parts Control. The Contractor shall establish and maintain a system of control over purchased parts and material. Such controls shall, at a minimum, ensure that the parts and material purchased are in compliance with the requirements of this Contract.
- 2.5.** Receiving Inspection of Purchased Parts and Material. Purchased parts and material shall be inspected by the Contractor upon receipt at the Contractor's facility to ensure conformance with all requirements of the applicable drawings and specifications. Alternatively, the Contractor shall submit, prior to contract award, evidence for Government review and approval of a purchased parts and material system which provides for adequate inspection to ensure parts and material conform with all requirements of the applicable drawings and specifications.

- 2.5.1. Evidence of such inspections shall be maintained by the Contractor or Subcontractor for Government review at least twelve (12) months following the conclusion of the contract. The inspection report shall, at a minimum, include a record of all dimensional data (coordinate/positional), material, finish, and processes with appropriate pass/fail criteria, such as certifications, and actual dimensional readings.

3.0 INSPECTION PROVISIONS

- 3.1. Government inspection shall be in accordance with FAR 52.246-2, Inspection of Supplies - Fixed-Price incorporated by reference in Section E, at source by DCMA unless otherwise specified in the Contract/Delivery Order or as authorized by the Administrative Contracting Officer (ACO) or PCO. Acceptance testing shall be conducted under the surveillance of the DCMA QAR. These tests shall include all tests necessary to assure that the items repaired conform to the performance required to provide Ready For-Issue material. The DCMA retains the authority to require the Contractor to conduct or reconduct any tests deemed necessary to ensure compliance with the manuals, drawings and specifications applicable to this Contract.

C04 - WEB-BASED COMMERCIAL ASSET VISIBILITY (WEBCAV) STATEMENT OF WORK (SOW)

The CAV Statement of Work (SOW) is located at: <https://www.navsup.navy.mil/NAVSUP-Enterprise/NAVSUP-Weapon-Systems-Support/Provisions-Instructions-and-Contract/>; and incorporated herein by reference.

C05 – SPECIFICATION FOR CONSUMABLE PARTS (CONTRACTOR-FURNISHED)

The contractor shall furnish on an "as required" basis all parts required to complete servicing of repairable articles hereunder within established delivery schedules. Such parts shall be in accordance with applicable drawings and specifications.

C06 - WSSTERMCZ04 - GOVERNMENT-INDUSTRY DATA EXCHANGE PROGRAM (GIDEP)

- a. The Contractor will actively participate in the Government Industry Data Exchange Program (GIDEP) per the Operations Manual (OM). The Contractor will submit information concerning critical or major nonconformances, as defined in FAR 46.101, to the GIDEP information system.
- b. The Contractor will insert paragraph (a) of this clause in any subcontract when deemed necessary by the Contractor. When so inserted, the word "contractor" will be changed to "subcontractor."
- c. The Contractor will, when it elects not to insert paragraph (a) in a subcontract, provide the subcontractor any GIDEP data which may be pertinent to items of its manufacture and verify that the subcontractor utilizes any such data.
- d. The Contractor shall, whether it elects to insert paragraph (a) in a subcontract or not, verify that the subcontractor utilizes and provides feedback on any GIDEP data that may be pertinent to items of its manufacture.

Associated Data Item Description (DID) DI-QCIC-80125B: Alert/Safe-Alert Reporting to GIDEP. (06-17)